A PRACTICAL GUIDE

How to Buy Your First Commercial Property

The No-Nonsense Guide to Finding, Underwriting, and Funding Your First Commercial Deal

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INTRODUCTION

Is This the Best-Kept Secret in Investing?

Whether in a job or most investments, a dollar earned or a dollar saved is just a dollar. Work harder, earn more, cut expenses, save more: it all adds up linearly. But there's a corner of investing where that math breaks completely. In commercial real estate, a dollar of annual income doesn't stay a dollar - it multiplies into property value, and thus your net worth. The reason is a number called the cap rate: the ratio of a property's annual net income to its market value. Flip that equation around and it becomes one of the most powerful wealth-creation mechanics available to private investors. At a 7% cap rate, every dollar of annual net income is worth about $14 in property value.

What that means in practice: add $10,000 to a property's annual net income - raise rents, cut an expense, add a revenue stream - and you've just created $140,000 in property value. Not over time. Right now. That's not appreciation. That's value you manufactured. It's why experienced investors obsess over net operating income the way a chess player obsesses over position: every move has a multiple.

This guide isn't about getting rich fast. It's written from 20 years of real estate investing, including buying and operating a commercial property from scratch, and it covers exactly what you actually need to know: how to find deals, run the numbers without getting fooled, structure an offer three different ways, assemble the right team, and use the tax code the way wealthy investors have been using it for decades.

One thing worth saying upfront: the principles in this guide apply across all commercial asset classes - multifamily, self-storage, retail, industrial, and beyond. The examples draw heavily from RV parks and alternative assets, because that's where the most accessible entry opportunities exist for private investors in today's market, and it's where my own operating experience runs deepest. If your target is a different asset class, the underwriting framework, offer structures, financing strategies, and tax principles are identical. The numbers and the logic transfer directly.

By the time you finish, you'll know how to screen any commercial deal in under two minutes, normalize a seller's financials to find the real numbers, structure offers with conventional financing or creative alternatives, and see a complete real-deal example worked through from listing to LOI.

That's not marketing. That's the table of contents. Let's go.

CHAPTER ONE

The Landscape: What You're Actually Choosing Between

When most people hear "commercial real estate," they picture office towers and shopping malls. These are assets owned by pension funds and private equity firms with more zeros in their bank accounts than you've had cups of coffee. That picture is accurate for part of the market. It's not accurate for the part that's actually available to you.

Commercial real estate is any income-producing property that isn't a single-family home. That definition covers an enormous range of assets. And before you look at a single listing, you need to know which slice of that range you're actually trying to enter.

ASSET CLASS	TYPICAL CAP RATE (2026)	ENTRY POINT	KEY NOTES
Class A Multifamily	4.5% – 6.0%	$5M+	Institutional competition is fierce at every level
Industrial / Logistics	5.0% – 7.0%	$2M+	Long leases, minimal management, e-commerce driven
Retail Strip Centers	7.0% – 9.0%	$500K+	Tenant quality is everything; vacancy kills returns
Self-Storage	5.5% – 8.0%	$1M+	Recession-resistant, lower management intensity
RV Parks / Campgrounds	8.0% – 12.0%	$500K+	Fragmented market; operator skill = competitive edge
Mobile Home Parks	6.0% – 9.0%	$500K+	Affordable housing demand; residents own their homes
Car Washes	6.0% – 8.0%	$1M+	High cash flow; specialized systems knowledge needed

Look at the pattern. The assets where private investors can most realistically compete (RV parks, mobile home parks, self-storage in secondary markets, and smaller retail) tend to carry higher cap rates. More income per dollar invested. But they also require more hands-on management. That's not a coincidence. Large institutions avoid operationally intensive assets because they can't manage them efficiently at scale. A focused owner-operator can run circles around them.

Why the Window Is Open Right Now

Three things are happening simultaneously in 2026 that make this an unusually good time to enter as a private investor. Cap rates have expanded sharply from their 2021 lows as borrowing costs rose, which means assets that were ridiculously overpriced two years ago are starting to pencil again. Institutional buyers have stepped back. In fact, nearly 60% of CRE transactions in the first half of 2025 were private investor deals, not institutional ones. And the alternative asset categories where you can actually compete (like RV parks and mobile home parks) are still roughly 90% owned by small independent operators with fewer than five properties. That fragmentation is where your opportunity lives.

> THE CORE PRINCIPLE
>
> You're not competing with Blackstone when you buy an RV park in Texas or a self-storage facility in a secondary market. You're competing with a retiring owner who hasn't raised rates in four years and has been self-managing without charging himself a fee. That's a solvable problem. And it's the entire source of your return.

Everything in the chapters ahead applies across commercial asset classes. The examples lean toward RV parks and alternative assets because that's where the math is most accessible for a first-time buyer today. But the underwriting framework (normalizing NOI, calculating DSCR, stress testing, and structuring offers) is identical whether you're looking at a campground in East Texas or a self-storage facility in Arizona.

Speaking of the math. Let's make sure you can actually read a deal before you find one.

CHAPTER TWO

The Mindset Shift: Where the Deals Are

Before we get into deal-finding, I want to name the thing that actually stops most capable people from making their first commercial offer. It's not capital. It's not knowledge. It's a quiet, persistent belief that this is something other people do: individuals with more experience, better networks, and longer track records. I believed that for years. I kept telling myself I'd get into commercial real estate when the timing was right. Then I bought an RV park and realized: there was no secret on the other side of the door. Just people who had decided to walk through it.

The investors I've seen succeed at their first commercial deal didn't have better information than the ones who didn't. They had the same information and made an offer anyway.

Where to Find the Deals

Listed deals on Crexi and LoopNet are where most investors start. Set up search alerts for your target asset class, price range, and geography, and review new listings at least twice a week. The best listed deals don't sit long, so being first to respond matters.

Broker relationships are where the best deals actually come from. When a broker knows you're serious, specific about what you want, and capable of closing, you'll start getting calls before deals hit the platforms. This takes time to build but it's worth pursuing from day one. Call the top two or three brokerage firms specializing in your asset class in your target market. Introduce yourself. Share your buy box. Ask to be added to their deal flow. You won't get every call-back. You'll get some.

Off-market deals take more effort but often come with better pricing and more room to negotiate creatively, partly because there's no broker commission baked into the ask. Direct outreach to owners, referrals from operators, and presence in investor communities like BiggerPockets and SubTo all surface conversations that never show up on any platform.

One warning worth stating plainly: commercial real estate scams are real, especially in Facebook groups. Before you wire a dollar or sign anything, verify ownership through your county's public property records. It takes five minutes and can save you everything.

> The knowledge gap between where you are now and where you need to be to make a first commercial offer is smaller than you think. This guide closes most of it. The only gap that remains is the decision to act.

How to Get a Broker to Take You Seriously

Here's the version of this question I hear most often: "I've never done a commercial deal. Why would a broker work with me?" The answer might surprise you.

A commercial broker's job is to close transactions. Full stop. They'll work hard for a first-time buyer who communicates intelligently and responds quickly, over an experienced investor who's slow to engage or vague about his financing. What earns their attention isn't your track record. It's your process.

Ask for the T-12 upfront: The T-12 is the trailing 12-month profit and loss statement. Asking for it by name (along with the prior two to three years of P&Ls and monthly occupancy data) signals immediately that you know where the real numbers live, not in the offering memorandum where they've been dressed up for you.

Have your financing sorted before you call: Know your lender, your approximate down payment range, and whether seller financing is on the table for you. Brokers will ask. If you don't have an answer, you drop to the bottom of the list.

Lead with your analysis, not your opinion: "My normalized NOI supports a purchase price of $X at a 1.25 DSCR" gets a broker's attention. "I think it's a little overpriced" gets a polite brush-off. NOI and DSCR are covered fully in the next two chapters. For now, just know that using this language signals immediately that you've done the work.

Respond within 24 hours, every time: Deals die faster from slow responses than from low offers. This is an easy one to get right.

Your professional background is a credential here: If you spent years in tech, medicine, law, or finance, you already know how to read a P&L, negotiate under pressure, and make high-stakes calls with incomplete information. You're not learning new skills. You're applying existing ones in a new context.

CHAPTER THREE

How to Read a Deal in 90 Seconds

Here's a habit that separates experienced investors from beginners: experienced investors kill most deals in thirty seconds. Not because they're lazy. Because they've run enough numbers to know which ones aren't worth running. Five quick screens, done from the listing page alone, will save you more time than any spreadsheet ever built.

Before we run through them, four terms will come up in every screen. They're explained fully in the next chapter, but here's the plain-English version you need to follow along now.

FOUR TERMS YOU NEED BEFORE WE START

Gross Income

The total revenue the property actually collects each year. What comes in the door before a single expense is paid.

NOI: Net Operating Income

What's left after subtracting all operating costs from gross income. Debt payments not included. The single most important number in CRE.

Cap Rate

NOI divided by purchase price. A property earning $100K bought for $1M has a 10% cap rate. Higher cap rate = more income relative to price.

DSCR: Debt Service Coverage Ratio

NOI divided by annual loan payment. A DSCR of 1.35 means the property earns $1.35 for every $1.00 of debt. Your floor: 1.35x.

Got those four? Good. Now the screens.

1

The 1% Rule: Is it likely a good deal?

If the monthly gross income is close to 1% of the asking price, the deal likely has strong fundamentals. Take the asking price and cross off the last two zeros to find the monthly gross income you want to see. A $2.5M property showing $25,000 per month passes. One showing $14,000 does not, and you know it before making a single phone call. This rule works in a normal interest rate environment (roughly 5–12%). Outside that range, treat it as a rough indicator only.

2

The 10x Rule (GRM): Is it overpriced?

The Gross Rent Multiplier is the asking price divided by annual gross income. You want it under 10. Fast version: take the annual gross income and add a zero. If the asking price is more than that number, it is likely expensive. A property showing $100,000 in annual gross income at a $1.5M asking price has a 15x GRM. Know where you are starting before you invest time.

3

The Quick DSCR Screen: Can it be financed?

Multiply the asking price by the current interest rate. Then divide the stated NOI by that number. Above 1.50: good breathing room. Between 1.25 and 1.50: worth a closer look. Below 1.25: serious financing risk. This is a 30-second filter, not your final underwriting.

4

The Expense Ratio Flag: Has it been manipulated?

Divide operating expenses by gross income. Below 30% means something is missing. Management fees, CapEx, or R&M have likely been omitted to inflate the stated NOI. Healthy properties run 35–65%. Above 70% signals mismanagement or high utility costs, which can actually be your opportunity.

5

Cap Rate vs. Interest Rate: Are you losing money from day one?

If the cap rate is lower than your interest rate, the property is likely earning less than your debt costs (called negative leverage). A 10% cap rate against a 7.5% interest rate gives you a 2.5-point spread: that gap is your cushion and your profit. If the spread is negative or near zero, you already have your answer.

> Five screens. Under two minutes. No spreadsheet required. If a deal clears all five, it's earned your time. If it fails two or more, you just got four hours back. Now let's build the real numbers.

CHAPTER FOUR

The Five Numbers That Run Every Deal

Every commercial real estate deal, regardless of asset class or price, runs on five metrics. Learn them cold. Every other number in an analysis traces back to one of these five. When any of them is wrong (and the seller's version usually is), everything built on top of it is wrong too.

METRIC 01

Net Operating Income

The heartbeat of the property. Revenue minus all operating expenses, calculated before debt service, depreciation, or the owner's personal costs. If NOI is wrong, every other metric is wrong.

METRIC 02

Cap Rate

NOI ÷ Purchase Price. How much the property earns relative to what you paid. Lets you compare any two deals instantly, regardless of size or price.

METRIC 03

DSCR

NOI ÷ Annual Loan Payments. The lender's primary question: does this property earn enough to cover its own debt? Their floor: 1.25x. Your floor: 1.35x.

METRIC 04

Net Profit

What lands in your account after operating expenses and loan payments are both covered. The actual cash this property generates for you each year.

METRIC 05

Cash-on-Cash Return

Net Profit ÷ Your Down Payment. The return on the actual cash you put in. At 10%, every $100,000 you invest returns $10,000 per year. If this doesn't beat your cost of capital, you're paying for the privilege of doing more work than your index fund.

How the Income Actually Flows

The money moves through three layers before you arrive at NOI, and understanding each layer is what lets you catch where sellers hide the manipulation.

Start with Gross Potential Income (GPI), which represents the theoretical ceiling. Every site or unit rented, every night of the year, at full market rate. Nobody ever achieves it. It's your starting point, not your expectation.

Subtract vacancy and credit losses, then add any other income streams (such as laundry, storage, parking, or camp stores) to reach Effective Gross Income (EGI). This is what the property actually collects. When this guide says "gross income," it means EGI.

Subtract all operating costs from EGI and you have Net Operating Income. Critical distinction that sellers routinely blur: debt service, depreciation, sales tax collected on behalf of others, and the owner's personal expenses do not belong in operating costs. When you see them mixed in, start asking questions.

GPI − Vacancy + Ancillary Income = EGI

EGI − Operating Expenses = NOI

NOI ÷ Purchase Price = Cap Rate | NOI ÷ Annual Debt Service = DSCR

NOI − Annual Debt Service = Net Profit | Net Profit ÷ Down Payment = CoC

Why the Seller's NOI Is Almost Always Wrong

The NOI in any offering memorandum is the best possible version of that number. This isn't always dishonest. It's the natural result of how owner-operated properties present their financials. In many states, sellers aren't legally required to volunteer information that would hurt their asking price. The law doesn't require them to be your accountant.

I've analyzed deals where the seller's stated NOI was nearly 50% higher than the real number. The gaps were in the same places they always are: zero management fee because the owner self-managed, R&M suspiciously low because deferred maintenance was the strategy the year before listing, no capital expenditure reserve because "nothing major has needed replacing." All technically true. None of it relevant to what your costs will be starting the day you close.

The T-12 is your real starting point, not the OM. Request it upfront, along with two to three prior years of P&Ls and, critically, monthly occupancy data broken out by month, not just the annual summary. A property at 88% annual occupancy can be running at 35% for four winter months. That seasonality can break a deal that looked fine in the summary. And ask for the source financials: bank statements, utility invoices, actual repair receipts.

> *"If they hesitate to provide the financials, that hesitation is your answer."*

CHAPTER FIVE

Building Your Own Numbers

Your job as a buyer is not to accept the seller's NOI. Your job is to build your own, one that reflects what it will actually cost you to run this business. Four substitutions handle 90% of the adjustment work on most commercial deals. Run them every time, without exception, because every time you skip one you're betting your capital that the seller thought of it for you.

LINE ITEM	WHAT SELLERS DO	YOUR SUBSTITUTION	WHY
Management Fee	Self-manage; fee is $0 or understated	10% of EGI	The day you close, the owner goes home. You will pay someone to manage it.
Repairs & Maintenance	Deferred pre-sale; R&M drops sharply the year before listing	Prior year actual, or 5–6% of EGI	Deferred maintenance is not eliminated. It arrives on your watch.
Capital Expenditures	Listed at $0 because nothing major happened recently	3–5% of GPI annually	Septic, electrical, paving, and roofing can all fail. Budget now or pay later.
Property Taxes	Understated in disclosure states after a low recent assessment	Research county reassessment policy; increase 20–40%	After closing, the county reassesses at your purchase price. Year two is a surprise you can see coming.

The Stress Test: Break the Deal on Purpose

Once you have a normalized NOI you trust, do one more thing before you make an offer: try to break the deal. Run it through three scenarios designed to simulate a bad year, because deals don't collapse in good years. They collapse when a slow season, a rate move, and a surprise expense all show up at the same time.

Cut occupancy by 10–15%: A deal that still works at 75% occupancy can survive a soft season. One that only works at 95% is one bad summer away from losing money. Know which one you're buying before you sign anything.

Add 1–2% to your interest rate: Balloon payments are real. Even on a fixed-rate loan, you may be refinancing in five to seven years. Model what happens if rates are higher when that moment arrives. If the deal breaks at plus one point, your cushion isn't big enough.

Raise expenses by 10–15%: Insurance premiums have gone up in most markets four years running. Repair costs track inflation. Build the buffer in now, because if you don't, the market will hand you the bill with a deadline attached.

The Verdict: Two Questions, One Answer

After normalizing and stress testing, two questions decide the deal. Both need to clear simultaneously. One failing means you restructure (Chapter Six shows you how). Both failing means you walk, unless a different offer structure changes the outcome.

✓ **GO:** Normalized DSCR ≥ 1.25 AND Cash-on-Cash ≥ 10% (or your personal targets). Both clear. Move to the offer.

~ **CONDITIONAL:** One metric clears, one fails. Don't walk yet, but restructure the offer first. Chapter Six is exactly about this.

✕ **NO-GO:** Both fail and restructuring can't fix them. Your underwriting just saved you from a very expensive mistake. Walk away without guilt.

A Real Deal, By the Numbers

Let me show you exactly how this plays out on an actual property. I've changed the name for privacy, but everything else is real: the listing, the broker's numbers, and what I found when I ran my own.

The property: a 70-site RV park in a secondary market, listed through a national brokerage. Let's call it Pinecrest RV Park. Asking price: $2,000,000. Broker-stated NOI: $193,184. Stated cap rate: 9.65% on paper. It looked worth a call. Then I ran the four substitutions.

Pinecrest RV Park: Underwriting Summary REAL DEAL · ANONYMIZED

INCOME	SELLER'S OM	MY NUMBERS
Gross Potential Income (70 sites, market rate)	$284,480	$284,480
Vacancy (assumed 8%)	N/A	($22,758)
Effective Gross Income	$284,480	**$261,722**
OPERATING EXPENSES	**SELLER'S OM**	**MY NUMBERS**
Management Fee (seller self-managed; I substituted 10% EGI)	$3,456	$26,172
Repairs & Maintenance (prior year was $10,500; OM shows $4,200)	$4,200	$10,500
Capital Expenditures (OM shows $0; I added 3% of GPI)	$0	$8,534
Property Taxes (adjusted for post-close reassessment +20%)	$18,200	$21,840
Insurance, Utilities, Payroll, Other (accepted as stated)	$65,440	$65,440
Total Operating Expenses	$91,296	**$132,486**
KEY METRICS	**SELLER'S NOI**	**MY NOI**
Net Operating Income	$193,184	**$129,236**
Cap Rate at $2M asking price	9.65%	6.46%

GAP $63,948 in annual NOI. At a 10% cap rate, this represents $639,480 in overpayment risk at the asking price

Four substitutions removed $63,948 in annual NOI that was never real. At a 10% cap rate, that gap represents roughly $640,000 in overpayment risk if you'd accepted the seller's numbers at face value. That's not a rounding error. That's the difference between a deal that quietly builds wealth and one that quietly drains it.

Was Pinecrest a bad deal?

No. The asking price was wrong for a conventional structure — but the asking price itself didn't have to move. At $2M, the normalized DSCR came in at 0.97x: a clear no-go. At $1.6M with standard 25% down and no seller carry, DSCR was 1.13x and CoC was 6.1% — still not there. But a 25% seller carry at 4% interest-only changed everything. Bank covers 60% at 7.5%. Seller carries 25% at 4% interest-only. Buyer puts 15% down — $240,000. DSCR: 1.28x. CoC: 11.7%. Both clear. The seller gets their price. The buyer gets the structure that makes it work. That's what understanding the levers actually does.

That's what underwriting actually does. It doesn't just tell you whether to buy. It tells you what to offer and how to frame the ask. Which brings us to Chapter Six.

CHAPTER SIX

Making the Offer Work

A conditional deal is an invitation to get creative. You have at least three levers available, and the combination of all three is often what turns a deal that almost works into one that clears cleanly. Most investors never use more than one of them.

STRUCTURE ONE

Lower the Price

The most direct path: reduce the purchase price until both your DSCR and Cash-on-Cash return clear. This is your Maximum Allowable Offer (the highest price at which the deal makes sense under conventional bank financing). When sellers push back, your analysis is your negotiation. "My normalized NOI supports a purchase price of $X at a 1.25 DSCR" isn't a lowball. It's a data-backed position a serious seller will engage with.

STRUCTURE TWO

Partial Seller Financing

Seller won't budge on price but your metrics fail? One question: "Would you consider carrying a portion of the purchase price?" A seller who's retiring and doesn't need a lump sum, or one who has thought about the capital gains implications of a full payout, might actually prefer monthly installment income. When a bank covers 65% at 8% and a seller carries 25% at 5%, the blended rate drops over a point. DSCR clears. Cash-on-Cash improves. Everyone closes. Most investors are too afraid to ask. Most sellers who would have said yes never get the chance.

STRUCTURE THREE

Full Seller Financing

The seller wants their full price and is willing to work on terms: interest rate, interest-only period, and amortization. No bank, no appraisal, no lender DSCR requirement. This works with sellers who need ongoing income, have significant capital gains exposure, or trust you enough to act as the lender. Not common. When it's available, it's usually the most powerful structure in the room.

How to Open the Seller Financing Conversation

Most buyers assume asking for seller financing signals desperation. The opposite is true. A buyer who understands the seller's tax situation well enough to propose an installment sale reads as sophisticated, not weak. Here's what works:

> "I've run the numbers carefully and I think there's a deal here, but not quite at the asking price with conventional financing. One structure that could work for both of us is if you carried a portion of the purchase price at a reasonable rate. That would let me pay you closer to your number while keeping the debt service manageable. Would you be open to exploring that?"

No pressure. No apology. A logical proposal in terms of mutual benefit.

The Tax Play: Cash vs. Carryback

Sellers rarely care about the top-line purchase price; they care about their net walkaway cash after taxes. When a seller accepts a $1,200,000 lump sum, the massive income spike can instantly push them into the highest federal capital gains tax bracket (20%) and trigger the 3.8% Net Investment Income Tax (NIIT).

By utilizing an installment sale via a 20% carryback ($240,000), the seller defers the taxes on that chunk. Spreading the gain across future tax years can keep them in a lower bracket (15%) and bypass the NIIT entirely on those deferred funds, allowing their money to earn interest for them instead of going straight to the IRS.

TAX METRIC (ON THE $240K GAP)	ALL-CASH LUMP SUM	20% SELLER CARRYBACK
Est. Capital Gains Rate	20%	*15% (Saved 5%)*
Net Investment Income Tax (NIIT)	3.8%	*0% (Bypassed)*
Immediate Tax Bill on $240k	$57,120	*$0 (Deferred)*
Estimated Out-of-Pocket Savings	—	*+$21,120*

Disclaimer: *Tax liabilities are highly individualized and subject to changing IRS regulations. This breakdown is for conceptual illustration only. Always instruct the seller to verify their specific exposure with their CPA, and ensure your own tax professional signs off on the final deal structure.*

The Win-win Offer

To see how this works in practice, look at how we structured the numbers to bridge a gap with a recent seller. The property was listed at $1,200,000, but our hard-stop maximum valuation based on the current Net Operating Income (NOI) was $1,000,000. Instead of walking away, we offered the full $1,200,000 asking price but requested a 20% seller carryback ($240,000) structured as a second lien at a 4.5% interest rate with a 5-year balloon. By deferred-structuring that $240,000 gap, the seller secured their top-line exit price, while we reduced our upfront cash out of pocket and maintained a 1.25x Debt Service Coverage Ratio (DSCR) on the primary bank loan. It transformed a dead-end negotiation into a textbook win-win.

Value-Add: Where the Real Money Gets Made

I once walked a property where the owner hadn't raised rates in four years. "My guests are loyal," he told me. "I don't want to push them out." I understood his thinking. But parks nearby were charging $45 more per site per month. At 70 sites, that gap was $37,800 in annual income sitting on the table uncollected. At a 10% cap rate, that's $378,000 in property value he was choosing to ignore. The market doesn't care about your loyalty story. Your NOI does the talking.

Rate increases are usually the fastest lever: every additional dollar per site per month, multiplied by the cap rate, creates immediate property value with zero capital outlay.

Occupancy improvement from 80% to 90% is almost always an operations and marketing problem, not a real estate problem. Better online presence, professional responsiveness, and dynamic pricing move occupancy at most underperforming properties without a dollar of renovation.

Expense reduction through utility billing conversion and renegotiated service contracts permanently lowers your cost floor.

Additional revenue from laundry, covered parking, storage, and event hosting is routinely left completely untouched. These are usually the easiest income streams to add.

One principle that matters more than any of the above: never pay the seller for value you intend to create yourself. Your offer price is based on current normalized NOI. The upside you build after closing is your return on the work you're about to do. Don't hand that to the seller in the purchase price.

The LOI — A Working Template

A Letter of Intent (LOI) is a non-binding document that signals mutual interest before either party commits money to legal contracts, due diligence, or lender engagement. It's not a contract. Write it clearly, keep it to one page, and include the one sentence that protects your deposit no matter what.

The Purchase and Sale Agreement

A Purchase and Sale Agreement (PSA) is the definitive, legally binding contract that officially commits both the buyer and the seller to a commercial real estate transaction. Unlike the LOI, a PSA is an exhaustive legal document drafted by attorneys that explicitly dictates every facet of the deal: exact pricing, hard deadlines, representations and warranties, closing conditions, and clear remedies in the event of a default. Once fully executed, it triggers the formal escrow process and legally binds the buyer's earnest money deposit to the specified timelines, governing the transaction all the way through the final transfer of title.

Why the LOI is Your Most Powerful Leverage Tool

In commercial real estate, jumping straight to a PSA is a rookie mistake that can cost you $5,000 to $10,000 in attorney fees before you even know if the seller is truly aligned on price and terms. The LOI achieves three things simultaneously:

Saves Capital: You iron out the major deal points (price, timelines, and contingencies) without spending a dime on legal drafting.

Establishes Momentum: Sellers are far more likely to sign a clean, 1-page LOI than wade through a dense 30-page contract. Once they sign, they are psychologically committed to making the deal work.

Locks Out Competition: A well-drafted LOI contains an Exclusivity Clause. Once signed, the seller must take the property off the market while you draft the formal agreement.

> THE PIPELINE PRINCIPLE
>
> An LOI that gets declined costs you nothing. An LOI you never sent costs you the deal. Send the offer. Let the seller say no. You can always walk away during due diligence if the numbers don't hold up, as that is exactly what the refundable EMD is for. But you cannot close a deal you never offered for.

Letter of Intent: Commercial Property Acquisition

NON-BINDING · FOR DISCUSSION PURPOSES ONLY

Date: *[Date]* | To: *[Seller Name / Broker Name]* | Re: *[Property Address]*

TERM	YOUR ENTRY
Purchase Price	*$[Amount]*
Buyer Entity	*[LLC or entity name]*
Down Payment	*[XX]% from Buyer's own funds — $[Amount]*
Bank Financing	*[XX]% of purchase price at approximately [X]% interest, [XX]-year amortization*
Seller Carry (if any)	*[XX]% of purchase price at [X]% interest, [X]-year term, or None*
Earnest Money Deposit	$[Amount], due within [3–5] business days of PSA execution. Fully refundable at any time prior to expiration of Due Diligence Period, in Buyer's sole and absolute discretion, for any reason or no reason at all.
Due Diligence Period	*[45–60] calendar days from PSA effective date*
Closing Timeline	*[15–30] calendar days following expiration of Due Diligence Period*
Conditions	Satisfactory due diligence, lender financing approval, and mutually acceptable PSA

The EMD refundability sentence is non-negotiable. Never sign a PSA without it.

This Letter of Intent is non-binding and does not constitute a contract to purchase. It is intended only to outline general terms for discussion. Buyer reserves the right to modify or withdraw this proposal prior to execution of a signed PSA. Upon signature of this LOI, Seller agrees not to market, negotiate, or accept offers for the Property with any third party for a period of [21] days to allow the parties to finalize and execute the formal PSA.

Respectfully submitted,
[Buyer Name / Entity / Contact / Date]

Accepted,
[Seller Name / Entity / Contact / Date]

PINECREST — WHAT THE LOI ACTUALLY LOOKED LIKE

Here is the LOI submitted on Pinecrest after the underwriting was complete. The seller held their asking price. The structure made it work: a 25% seller carry at 4% interest-only reduces annual debt service enough to clear both DSCR and Cash-on-Cash — with only 15% down from the buyer. The seller gets full price and monthly income on the note. The buyer closes with $240,000 instead of $400,000.

At $1.6M with this structure: DSCR 1.28x · Cash-on-Cash 11.7% · Down payment $240,000 · Verdict: Go.

Letter of Intent: Pinecrest RV Park Acquisition

NON-BINDING · FOR DISCUSSION PURPOSES ONLY · ANONYMIZED FOR PRIVACY

Date: *[Date of Submission]* | To: *[Listing Broker]* | Re: Pinecrest RV Park, [Secondary Market Location]

TERM	PROPOSED ENTRY
Purchase Price	*$1,600,000*
Buyer Entity	*[Acquiring LLC]*
Down Payment	*15% from Buyer's own funds — $240,000*
Bank Financing	*60% of purchase price at approximately 7.5% interest, 25-year amortization — $960,000*
Seller Carry	*25% of purchase price at 4.0% interest-only, 5-year balloon — $400,000*
Earnest Money Deposit	$25,000, due within 3 business days of PSA execution. Fully refundable at any time prior to expiration of Due Diligence Period, in Buyer's sole and absolute discretion, for any reason or no reason at all.
Due Diligence Period	*45 calendar days from PSA effective date*
Closing Timeline	*21 calendar days following expiration of Due Diligence Period*
Conditions	Satisfactory due diligence, lender financing approval on the 60% conventional portion, and mutually acceptable PSA

This Letter of Intent is non-binding and does not constitute a contract to purchase. Upon signature, Seller agrees not to market, negotiate, or accept offers for the Property with any third party for a period of 21 days to allow the parties to finalize and execute the formal PSA.

Respectfully submitted,
[Acquiring LLC / Contact / Date]

Accepted,
[Seller / Contact / Date]

Financing, Due Diligence, and Your Team

These three topics belong together because in practice they're inseparable. The financing you choose shapes the due diligence timeline you need to hit. The team you assemble determines whether you close or spend two months getting there and fall apart on a technicality.

Financing Your Deal

The conventional commercial loan is where most buyers start. Banks want 25–30% down, lend at 7–8.5% in today's market, amortize over 20–25 years, and build in a balloon at 5–10 years. Their DSCR floor is 1.20–1.25x. Your 1.35x target gives you room to pass their test and still have real cash flow.

The SBA 7(a) program is one of the most underused tools in commercial real estate, particularly for hospitality and business-adjacent assets like RV parks. Up to $5 million with as little as 10% down on a full 25-year amortization. Rates run Prime plus 2.25–4.75%, roughly 9–11.5% variable today. The rate is higher than conventional, but 10% down instead of 25–30% changes your Cash-on-Cash return dramatically on a property that performs. Use an SBA lender who specializes in your asset class. Program knowledge matters far more than brand name.

Private money from individual lenders fills gaps conventional programs won't touch. Rates are 10–14%, terms run 1–3 years, and approval is fast. Best used as bridge financing while you stabilize an underperforming asset, then refinance conventionally once the numbers clean up.

DSCR loans underwrite on the property's income, not your personal tax returns. Available through non-QM lenders and genuinely useful if your income picture is complex. Most require 20–25% down and a property DSCR of 1.1–1.25x minimum.

Fannie Mae and Freddie Mac agency loans are the most attractive commercial financing most investors have never asked about. Both GSEs run substantial multifamily lending programs, and in 2026 their combined purchasing caps hit $176 billion, signaling serious liquidity for qualifying deals. For the right asset type, agency financing offers what conventional bank loans can't: rates currently starting in the 5.5–6.5% range, up to 80% loan-to-value, 30-year amortization, and non-recourse structure as standard. You don't borrow directly from Fannie or Freddie; instead, you access their programs through approved lenders and mortgage brokers who originate and sell the loan for securitization. Eligible property types include market-rate multifamily (5+ units), senior housing, student housing, affordable housing, and manufactured housing communities similar to mobile home parks. If multifamily or manufactured housing is your target, agency debt belongs at the top of your lender conversation.

Recourse vs. Non-Recourse: Know What You're Signing

This distinction lives in the footnotes of most guides. It deserves a much more prominent place than that.

A recourse loan comes with a personal guarantee. If the property defaults, the lender forecloses, and the sale doesn't cover the balance, they can come after your personal assets, such as savings, other properties, and retirement funds. Most conventional bank loans, SBA loans, and community lender programs are recourse. The tradeoff is real: easier to qualify for and often lower rates, because the lender has two sources of repayment instead of one.

A non-recourse loan limits the lender's recovery to the property itself. If things go wrong, they take the asset. Your personal balance sheet stays intact. This is the default structure on Fannie Mae and Freddie Mac agency loans, CMBS, and many life insurance company loans. Non-recourse comes with tighter underwriting requirements and sometimes a slightly higher rate since the lender is absorbing more risk, and pricing reflects that.

One thing every borrower needs to understand: virtually all non-recourse loans contain carve-outs, sometimes called "bad boy" clauses. These are specific actions that convert the loan to full personal recourse: fraud, intentional misrepresentation, filing for bankruptcy without lender consent, misappropriating rents, or causing environmental damage. Act in good faith and your personal assets are protected. Act in bad faith and you lose that protection. This is fair and intentional. Carve-outs exist to prevent abuse, not to catch honest investors off guard.

> Simple test: if the lender requires a personal guarantee, it's recourse. If they only require guarantees for specific bad acts, it's non-recourse. Always ask directly before you sign, and have your attorney review any carve-out provisions in a non-recourse agreement.

No-Money-Down Strategies That Actually Work

Full seller financing is the cleanest zero-down structure when you can access it. The seller owns free and clear, acts as the lender, carries 100% of the purchase price, and you make payments directly to them. No bank, no appraisal, no DSCR requirement from a lender. Works best with sellers who want monthly income, have significant capital gains exposure that installment treatment helps, or trust you enough to be the lender. It is not common, but when it's available, nothing beats it.

Capital partners are how most serious investors scale without unlimited personal capital. You bring the deal, the underwriting, and the management capability. Your partner brings the down payment. Cash flow and appreciation are split by agreement. One specific detail experienced commercial lenders confirm: when an experienced investor enters as a limited partner, keeping their equity stake below 20% avoids triggering the full guarantor documentation that lenders require from partners at 20% or above. The 19% LP structure keeps the deal cleaner from a financing perspective while still providing the experience credential that unlocks better terms.

Seller carry as a down payment offset is widely used and frequently overlooked by first-time buyers. If the seller carries 20–25% of the purchase price in a second-position note (disclosed to and approved by the primary lender), your out-of-pocket cash requirement shrinks significantly. One thing that surprises many residential investors crossing into commercial: lenders want to see real liquid cash reserves. Not a 401K balance, not an IRA statement. Liquid money in a bank or brokerage account. A retirement account doesn't satisfy a commercial lender's reserves requirement. The workaround experienced operators use: raise equity from limited partners, show those LP funds to satisfy lender stability requirements, then close with the seller carry structure in place. The same LP capital pool can rotate to the next deal once the transaction closes. It's legal, it's commonly done, and it's how a well-networked investor can scale deal volume without tying up permanent capital in every transaction.

Due Diligence: Your Window to Verify Everything

The period between your signed LOI and closing is the most consequential window in any acquisition. Everything the seller told you gets independently verified. Roughly 14% of commercial real estate contracts fall through before closing, and the top reasons are almost always things that surface during due diligence that could have been caught earlier if someone had looked carefully.

FINANCIAL VERIFICATION	PHYSICAL & LEGAL VERIFICATION
☐ Actual bank statements (12–24 months) cross-referenced against T-12	☐ Commercial property inspection: electrical, plumbing, HVAC, septic
☐ Utility bills and invoices from originals, not summary	☐ Roof condition assessment and remaining useful life
☐ Insurance invoices and coverage documentation	☐ Pavement and infrastructure assessment
☐ Maintenance and repair receipts for prior 3 years	☐ Phase 1 Environmental Site Assessment (lender often requires)
☐ Property tax bills and payment history	☐ Title search: all liens, encumbrances, easements
☐ All service contracts and recurring vendor agreements	☐ Zoning compliance verification and any pending changes
☐ Monthly occupancy reports (not just annual summary)	☐ Survey: confirm boundaries match deed description
☐ Any existing leases, easements, or licensing agreements	☐ Any pending litigation or regulatory action involving the property

Two things worth calling out. First, always use a commercial inspector, not a residential one. The systems are entirely different and the inspection approach doesn't transfer. Second, what you find during due diligence isn't just a checklist — it's ammunition. A septic system that needs $120,000 of work within two years isn't a reason to walk if the price is right. It's a reason to renegotiate or request a credit at closing. Use it.

The Six People You Need Before You Need Them

Build this team before you have a deal under contract. A live deal with a ticking due diligence clock is not the moment to be interviewing attorneys and lenders for the first time.

Commercial Real Estate Attorney: not your residential attorney. CRE involves PSA negotiation, title review, seller financing documentation, and complex closing coordination. Find someone who does this every week and isn't rattled by creative structures.

Investor-Friendly Title Company: standard title companies get uncomfortable the moment seller carry or unconventional financing enters the picture. Find one that works with investors regularly.

CPA Who Specializes in Real Estate: not a general practitioner. You need someone who lives in REPS qualification, cost segregation, applicable bonus depreciation schedules, and 1031 exchanges. The after-tax difference between a real estate CPA and a general one is not a rounding error.

Commercial Lender: not your residential mortgage broker. Your lender should be actively closing deals in your asset class, know the SBA programs cold, and be able to pre-underwrite fast so you know your financing capacity before you make an offer.

Commercial Property Inspector: ask specifically about commercial experience in your asset class. A residential inspector doing a commercial inspection will miss things a specialist catches in the first hour.

Transaction Coordinator: an experienced TC keeps timelines on track, manages document flow, and prevents the procedural failures that kill deals in the final stretch. Find one who has closed your asset type before.

The Final Mile: Coordinating the Close

Once you have aligned your core team—those six essential people steering the transaction—your role undergoes a massive shift. You transition from a deal negotiator into an air traffic controller. Closing a commercial asset is a high-stakes, multi-week ballet where deal fatigue becomes your primary enemy. Your job during this final mile is to keep the momentum alive: ensuring your lender’s underwriting team has everything they need, verifying your property manager is ready to take over operations on Day 1, and making sure your attorney and the escrow agent are perfectly aligned on the closing statement adjustments. A smooth closing doesn't happen by accident; it is the ultimate test of how well you lead the team you just built.

CHAPTER EIGHT

Tax Strategy, Exit Planning, and What Comes Next

The return on a commercial real estate investment has two parts: the cash flow you collect while you own it, and the tax advantages that make that cash flow worth considerably more than its face value. For a high-income professional, the tax piece is often where the most significant wealth gets built. Most financial advisors never mention it. Everything here is complex and situation-specific. Talk to a CPA who focuses on real estate investors before acting on any of it.

Active vs. Passive Income: Why This Distinction Matters

The IRS splits income into active and passive. Active income includes wages, self-employment income, and business income where you materially participate. Passive income covers rental income and businesses you don't actively run. For most investors, losses from rental properties can only offset passive income, meaning they can't touch your W-2. The exception changes everything: Real Estate Professional status.

Real Estate Professional Status (REPS)

Two tests to qualify: more than 750 hours per year in real estate activities, and more time in real estate than in any other profession. For a full-time investor, or a household where one spouse manages real estate full time while the other earns a salary, REPS is often achievable. Once you qualify, depreciation losses from your properties can offset your ordinary income dollar for dollar. At a 37% marginal rate, $200,000 in depreciation losses is $74,000 back in your pocket. That's not a rounding error. That's worth a very specific conversation with a real estate CPA before you structure your first acquisition.

Depreciation and Cost Segregation

Commercial real estate depreciates over 39 years for tax purposes, generating paper losses even while the property's value climbs. A million-dollar acquisition produces roughly $25,600 per year in deductions at no cash cost to you.

Cost segregation takes it further. A cost segregation study, done by a specialized engineering firm, reclassifies parts of the property like appliances, paving, landscaping, and certain structural elements. These move from the 39-year schedule to 5-year, 7-year, or 15-year schedules. Dependent on current tax structures and federal schedules, a cost segregation study heavily accelerates depreciation timelines in year one. For a REPS-qualified investor, that significantly reduces taxable income in a single filing. Studies run $3,000–$10,000 and pay for themselves many times over on any acquisition above $500,000.

Exit Strategies

How you exit matters as much as how you enter. Build your exit plan into the underwriting instead of treating it as an afterthought when you're ready to sell.

Refinance after value-add is the CRE version of BRRRR. Buy, improve operations, refinance at the higher value, and pull out equity tax-free while keeping the asset. If you acquired at a 9% cap rate and improved NOI enough to support an 8% cap rate refinance on the same income, the valuation spread can return a meaningful portion of your original capital while you continue to own and cash flow the property.

A Word on Capital Raising: What Opens That Door

Once your underwriting is solid and you've closed your first deal or two, you'll start to see a natural evolution in how you think about acquisitions. Deals that are too large for your capital alone start to look possible because you can bring in partners who contribute equity in exchange for a return on their investment. This is how most serious commercial investors scale past their first few properties.

The tool that makes those conversations possible is the pro forma, which is a forward-looking financial model, typically covering 5 to 10 years, that projects how a property's income, expenses, debt service, and value will grow over time. A well-built pro forma shows a capital partner exactly what their money will do: how long it's deployed, what it earns annually, and when and how it comes back. Without it, you're asking someone to trust a story. With it, you're showing them a plan they can evaluate.

Capital partners, whether friends with liquidity, professional investors, or accredited investors in a formal offering, typically ask two questions first: what is my annual rate of return, and when do I get my money back? A pro forma that answers both clearly, with conservative assumptions and a sensitivity analysis showing a range of outcomes rather than one optimistic case, is what separates operators who can raise capital from those who can't.

> Capital raising is its own discipline, one that involves securities law, investor relations, offering documents, accreditation requirements, and significant compliance considerations. It is beyond the scope of this guide, and for good reason: it belongs after you've closed your first deal and have the track record to stand behind a conversation with an outside investor. The underwriting skills in this guide are what build that track record. Get the fundamentals right first. The capital conversations follow naturally from there.

The 1031 Exchange defers capital gains tax entirely by rolling sale proceeds into a replacement property of equal or greater value. The rules are strict: identify replacement properties within 45 days of closing, close on the replacement within 180 days, and run everything through a Qualified Intermediary rather than your own account. Multiple 1031 exchanges over a career can defer millions in gains indefinitely. At death, heirs receive a stepped-up basis and the accumulated deferred gains disappear entirely.

The Easy 1031: A Smarter Alternative for Many Investors

The formal 1031 is powerful but genuinely stressful to execute. A 45-day identification window, a 180-day close deadline, and a Qualified Intermediary holding your money create constant pressure. You are forced to commit to a replacement property on a compressed timeline. Miss one deadline by a day and the full capital gains bill lands in your lap. Many investors make rushed replacement decisions under that clock and end up in a worse property than the one they just sold.

There's a simpler path. Tax professionals and investors call it the Poor Man's 1031, the Lazy Man's 1031, or simply the Easy 1031. Same destination, different road. Here's how it works:

You sell your property, recognize the capital gain, and pay taxes normally. With no deadlines, no intermediary, and no restrictions on what you buy or when, you can purchase a new commercial property on your own timeline. Immediately after acquiring it, you commission a cost segregation study. The study reclassifies components into shorter-lived schedules, heavily compounding write-offs in year one. That deduction reduces your ordinary taxable income. If you qualify under REPS, it can dramatically reduce your overall tax burden for that year, and when structured correctly with your CPA, may substantially offset the net tax impact of the sale. It is not a direct dollar-for-dollar offset against capital gains, which are taxed through a separate mechanism. But the combined effect, properly structured, can be powerful.

A simplified illustration: you sell a property and recognize $400,000 in capital gains. You then buy a $1.5M commercial property. Assuming a high building-to-land ratio, a cost segregation engineering study can easily move $420,000 of that asset value into shorter-lived components. That depreciation deduction reduces your taxable ordinary income by $420,000, which can offset a significant portion of the tax burden generated from the gain. This depends entirely on your total income picture, applicable rates, and state tax situation. Your actual tax outcome will vary.

Three additional caveats. First, this works most cleanly if you qualify as a Real Estate Professional under REPS, or have passive income available to absorb the losses; otherwise, the losses get suspended under passive activity rules. Second, the percentage reclassifiable through cost segregation varies by asset type. RV parks and hospitality properties tend to have higher reclassification percentages than standard commercial buildings. Third, both transactions, the sale and the purchase, may need to be in the same tax year to realize the tax saving benefits.

The real advantage over the traditional 1031 is freedom. No clock, no intermediary, and no forced decisions allow you to buy the right deal when you find it.

THE COMPOUNDING STRATEGY

The investors who build the most wealth in commercial real estate aren't necessarily finding better deals. They're stacking the advantages: buy the asset, improve operations, commission a cost segregation study, qualify under REPS to use the depreciation against active income, refinance to pull equity out tax-free, then either 1031 exchange into a larger asset or use the Easy 1031 to buy the next one on your own timeline. Each move compounds on the last. The first acquisition is not the destination. It's the foundation everything else is built on.

IMPORTANT: CONSULT YOUR CPA

The mechanics of this strategy depend heavily on your individual tax situation, filing status, REPS qualification, state tax laws, and current IRS rules, all of which can change. The depreciation deduction does not directly offset capital gains. It reduces ordinary taxable income and creates potential loss offsets only under specific qualifying conditions. Tax laws change frequently. Before relying on this or any tax strategy described in this guide, get written guidance from a CPA who specializes in real estate investors and is current on 2026 tax law. This section is an educational overview only.

BEFORE YOU CLOSE THIS EBOOK

Most people who read a guide like this feel ready — and then do nothing for six months. The section below is the antidote. It converts everything you've read into a specific sequence of actions with a deadline attached. Follow it and you'll have made contact with real brokers, analyzed real deals, and drafted a real LOI before 30 days are up. That's not a small thing. That's the gap between investors who close deals and those who keep researching.

Your First 30 Days: What to Actually Do

Knowledge without action is just expensive reading. Here's exactly what to do in the next 30 days to stop thinking about this and start moving.

DAYS 1–7

Define and Set Up

- Pick your target asset class and your primary market. One of each. Not "commercial real estate generally." A specific asset type in a specific geography; otherwise, you're not an investor, you're a researcher.
- Create accounts on Crexi and LoopNet. Set up search alerts. Review new listings every Monday and Thursday minimum.
- Identify the top three to five brokerage firms specializing in your asset class in your target market. Write down one broker contact at each.
- Find your commercial lender. Ask your network for referrals or search "SBA 7a lender [asset class] [market]." Schedule one pre-qualification conversation this week.
- Run the five-screen quick analysis on three active listings just to practice. Don't call anyone yet. Just get comfortable with the numbers.

DAYS 8–14

Build the Relationships

- Call two brokers. Introduce yourself: target asset class, price range, timeline, and financing capacity. Ask to be added to their deal flow. These calls are ten minutes each.
- Join one online investor community relevant to your asset class, such as BiggerPockets, SubTo, or a relevant Facebook group. Read for a week before you post. Learn how the community talks before you start talking.
- Find a commercial real estate attorney in your market. One introductory call this week. Ask specifically about their experience with creative financing structures like seller carry.
- If your current CPA doesn't know REPS and cost segregation, ask your network for a referral to one who does. This conversation is worth having before your first acquisition, not after.

DAYS 15–21

Analyze Real Deals

- Request the T-12 and prior year financials on one deal from the platforms. This is a completely normal ask and signals immediately that you know what you're doing.
- Run the four substitutions. Calculate the real NOI, the real cap rate, DSCR at three price points, and CoC at your likely down payment structure.
- Run the stress test. Occupancy minus 10%. Rate plus 1%. Expenses plus 15%. Write the results down. Know what you're buying before you offer for it.
- Apply the verdict framework. Go, conditional, or no-go? If conditional, which offer structure changes the outcome?

DAYS 22–30

Make Contact and Sharpen

- Call the listing broker on at least one deal you analyzed. Ask one smart question about the financials, specifically something that could only come from someone who actually read the T-12. This builds credibility faster than anything else you can do.
- If any deal from your analysis clears the metrics, draft a preliminary LOI using the template in Chapter Six. You don't have to send it yet. Writing it makes the numbers real in a way reading about them doesn't.
- Review the month: which asset class feels right, which market has the most activity, and which broker relationship is the warmest. Put your energy where the signal is strongest.
- Set month two objectives: one broker relationship deepened, one deal fully analyzed, and one LOI drafted or submitted. Momentum compounds exactly the way income does. Keep going.

YOUR NEXT STEP

You Have the Framework.
Now Use It.

You can screen a deal in 90 seconds. You know how to build your own NOI, run the stress test, structure an offer three different ways, verify everything before you close, and use the tax code the way wealthy investors have been using it for decades. That knowledge took most investors years and several expensive mistakes to accumulate. You just got it in a single sitting.

The gap between knowing the process and executing it on a real deal is real. Here's where to go next.

$97 **RV Park Deal Analysis Training**

40 minutes. A real deal, analyzed live, start to finish. Every metric from this guide applied in real time so you can see exactly how it all comes together on an actual acquisition. The natural next step after this guide.

Visit sugarpinepm.com to access all resources and free tools. Email aj@sugarpinepm.com for deal analysis or mentorship inquiries. Find AJ on Instagram at @AJKuckreja and YouTube at @AJKuckreja.